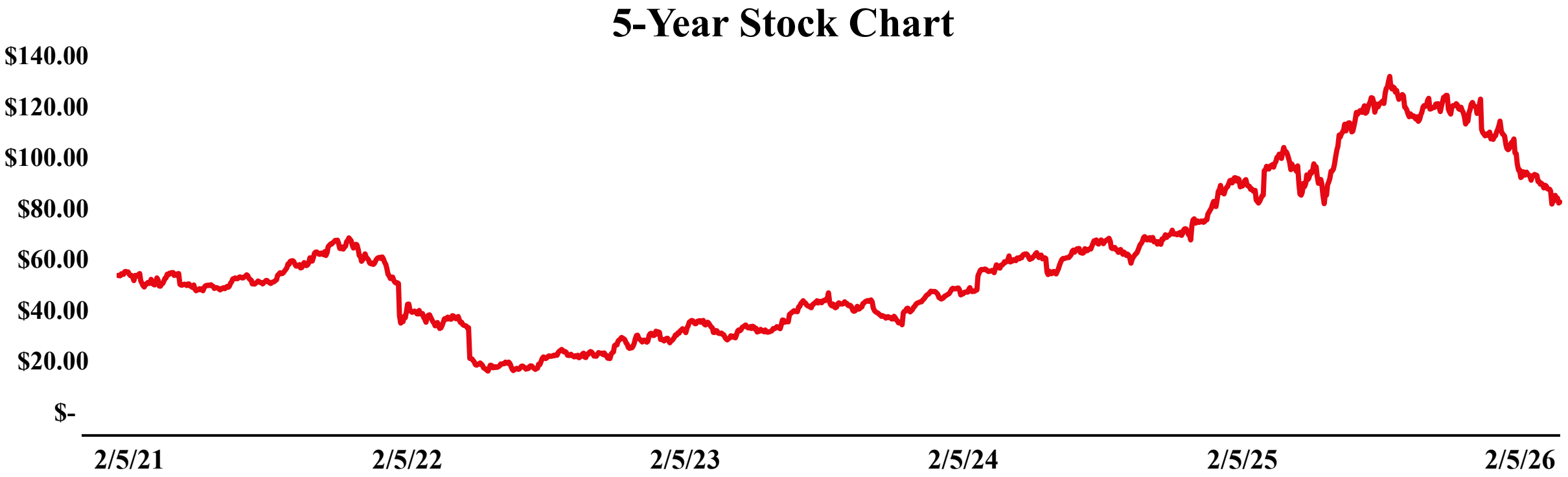


NASDAQ:NFLX| Recommendation: Strong Buy| Target Price: $102.91 (+35.53%)

Agenda

- Company Overview
- Industry Overview
- Acquisition Overview
- Investment Theses
- Valuation
- Conclusion

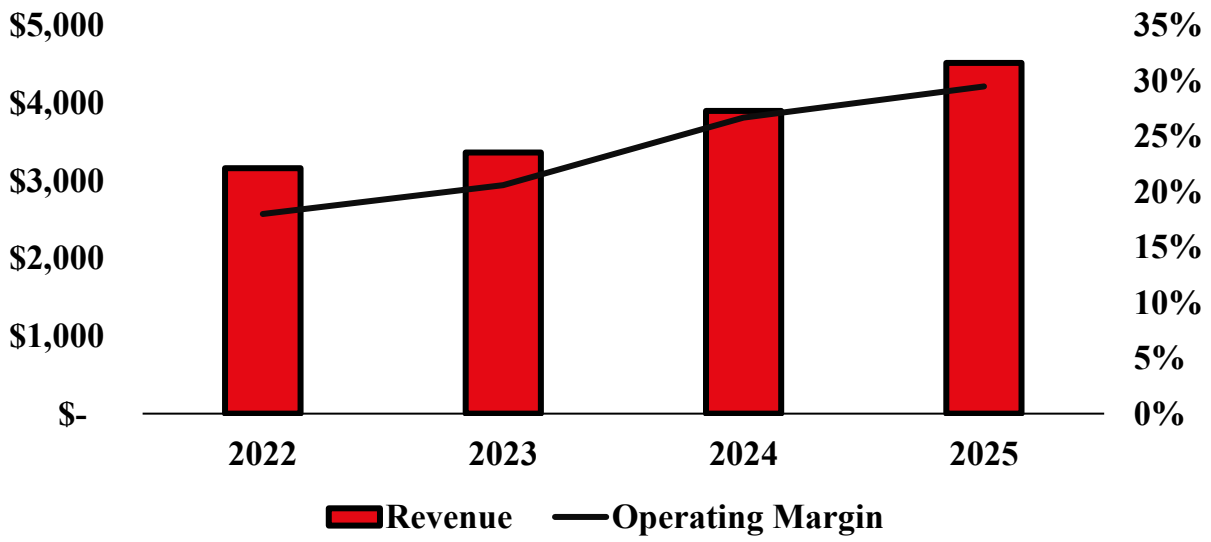
Executive Summary



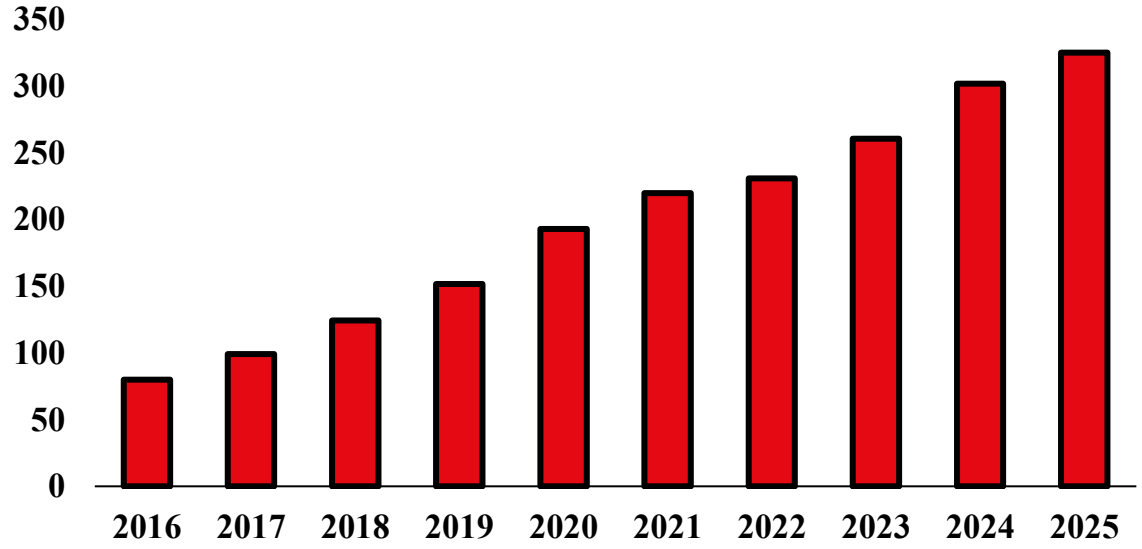
Robust Ad Business → WBD Deal → Buying After the Selloff → Buy Recommendation

Company Overview

Netflix Revenue and Operating Margin Growth



NFLX Subscribers Last 10 Years (In Millions)



Members

325 Million

Countries

~190 Countries

Media

Movies, Shows, Live Events

Est. FCF 2026

$11 Billion (+15.79%)

Company Background

Growth Drivers

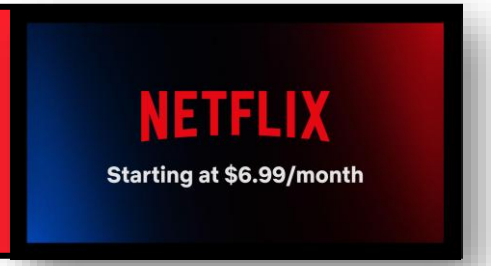


Password Sharing Crackdown

- Converted shared accounts into millions of new paying subscribers

Ad-Supported Tier Success

- 55% of sign-ups choose ads, doubling revenue in 2024





Live Events

- Drew Over 100M Viewers, attracting and retaining subscribers

Effective & Disciplined Management Team



Ted Sarandos
President/Co-Ceo



Greg Peters
President/Co-Ceo



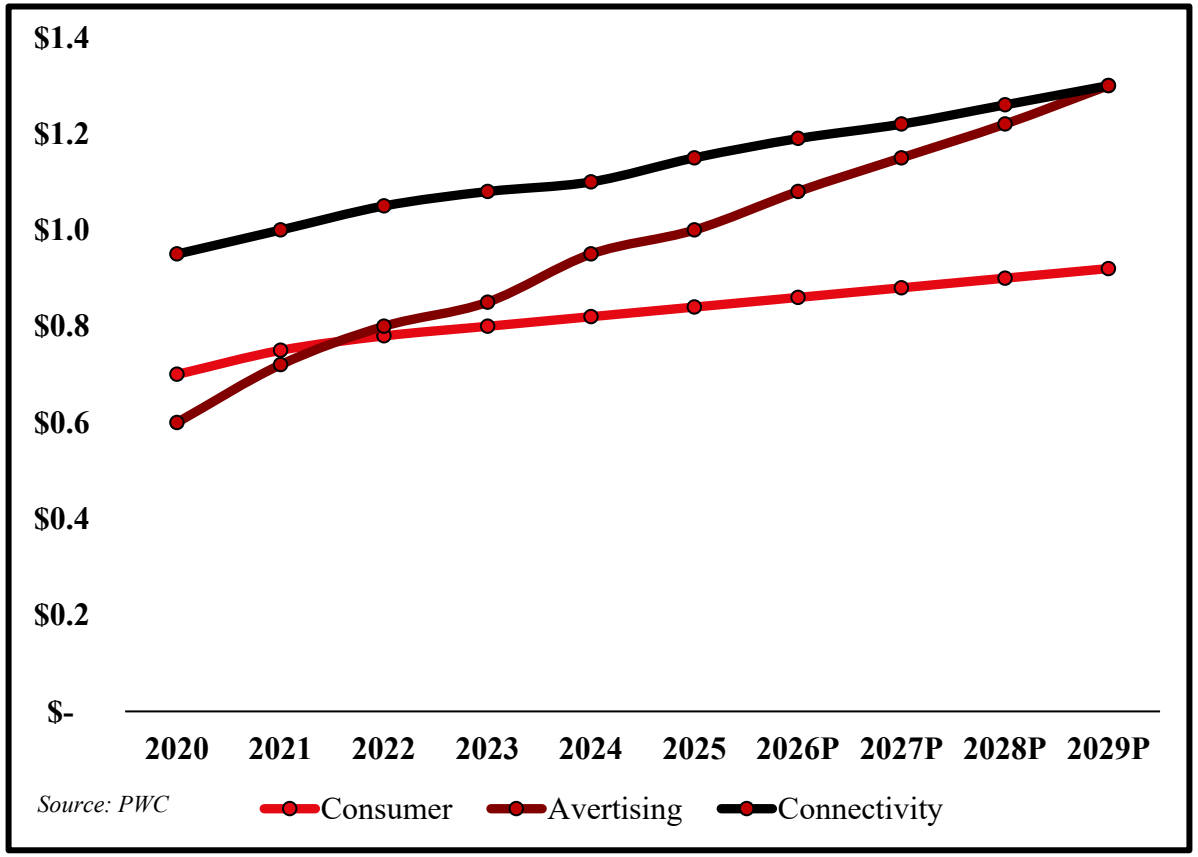
Reed Hastings
Co-Founder/Chairman

2026 Live Event Calendar

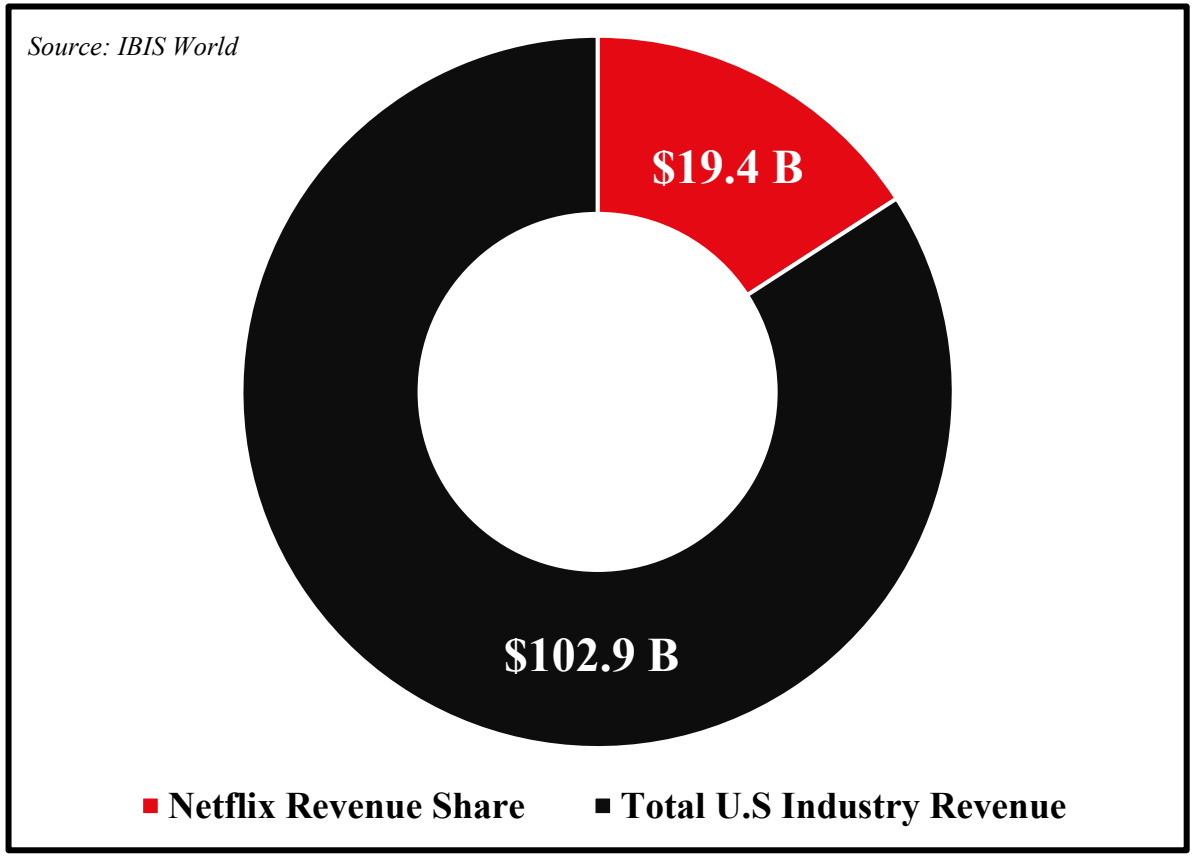


Entertainment & Media (E&M) Overview

E&M Sub Segment Spending in Trillions

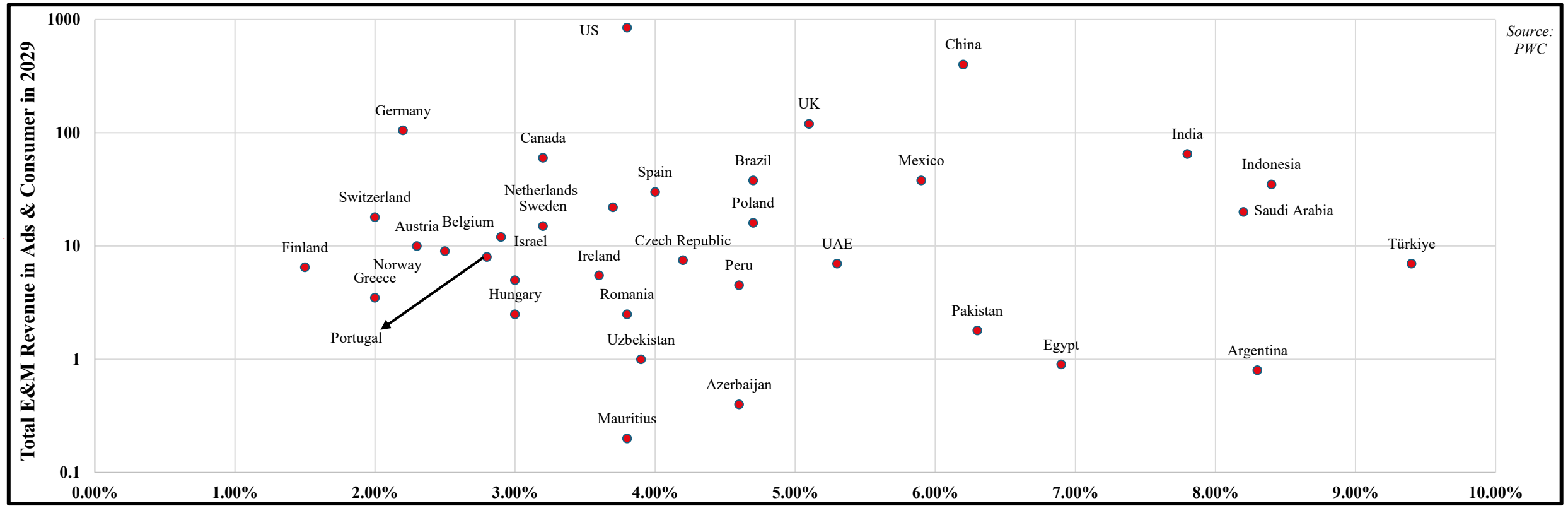


U.S E&M Industry Revenue



Entertainment & Media (E&M) Overview

E&M Fastest Growing Markets



Entertainment & Media (E&M) Overview

Streaming Services Price Hikes Jan 2024 - Jan 2025

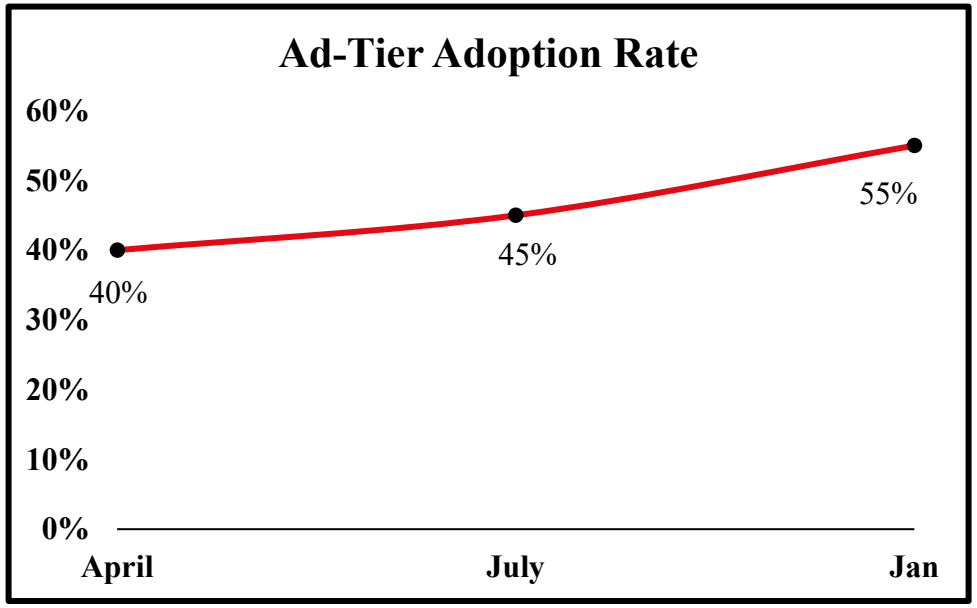
		Basic(Ads)	Standard(Ad-Free)	Premium(Ad-Free)
Streaming Service	**Region**	**Price change (%)**	**Price change (%)**	**Price change (%)**
Netflix	U.S & Canada	14.30%	16.10%	8.70%
Disney+	US	20.00%	18.80%	0.00%
Hulu	US	20.00%	0.00%	0.00%
HBO Max	US	10.00%	8.80%	9.50%
Peacock	US	37.50%	21.40%	0.00%
Apple Tv+	US	0.00%	30.00%	0.00%
Prime Video	US	0.00%	0.00%	0.00%

Thesis 1: Explosive Ad Revenue Growth

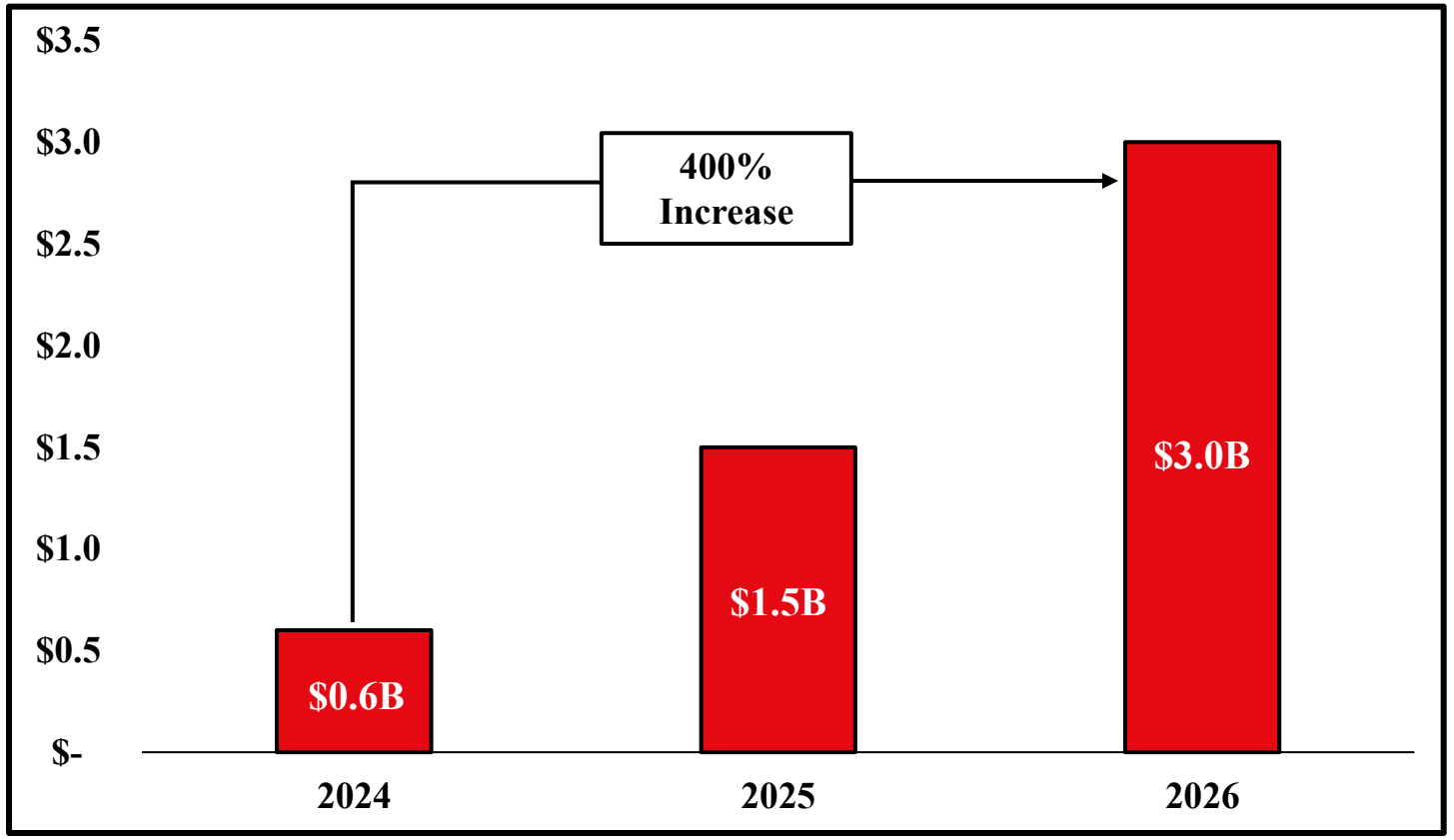
Rapid Adoption is Driving Scale

80M Active Ad-Tier Users

Ad Business is Extremely Profitable

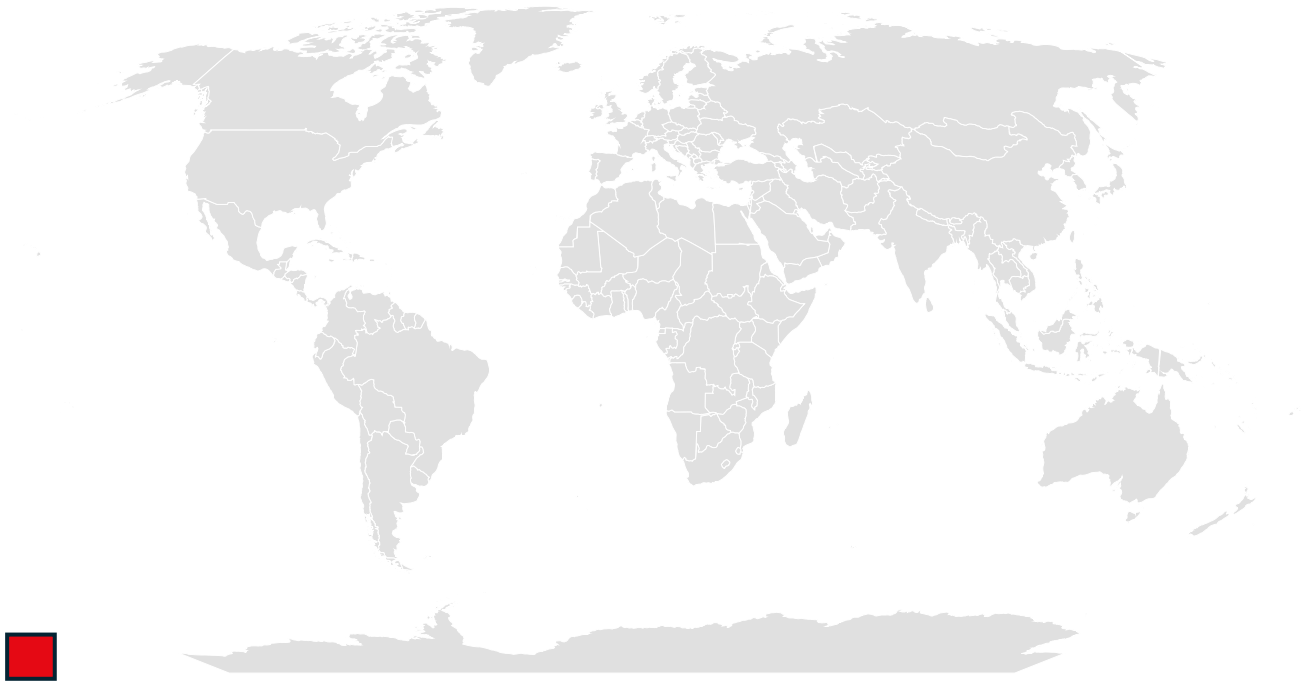


Netflix Ad Revenue in Billions



Thesis 1: Explosive Ad Revenue Growth

Ad Tier Geographic Coverage



Key Markets Unaddressed

India	Turkey
	
Colombia	**Argentina**
	

12/190 Total Markets Addressed

Thesis 2: The Ultimate Stream Team

Acquisition Details

12/5/25
NFLX &WBD
Announce $82 Billion
Acquisition

Early 2027
Final Closing of the
Acquisition

12/8/25
Paramount Offers
$108.4 Billion

Deal Details

All Cash Transaction of $82.7 Billion

Discovery Global will Separate from WB

Awaiting Regulatory Approvals (DOJ & EU)

NFLX Management Projections

$5B Annual Cost Synergies

Thesis 2: The Ultimate Stream Team

Netflix Media Library

Movies



Tv Shows



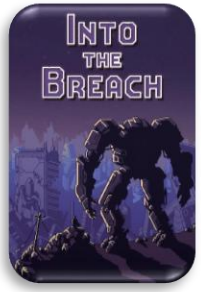


Live Events





Games

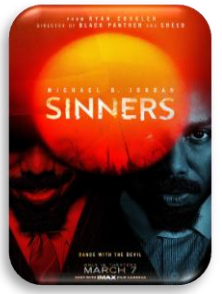




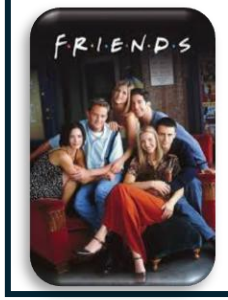
Warner Bros. Media Library

Movies





Tv Shows





Franchises



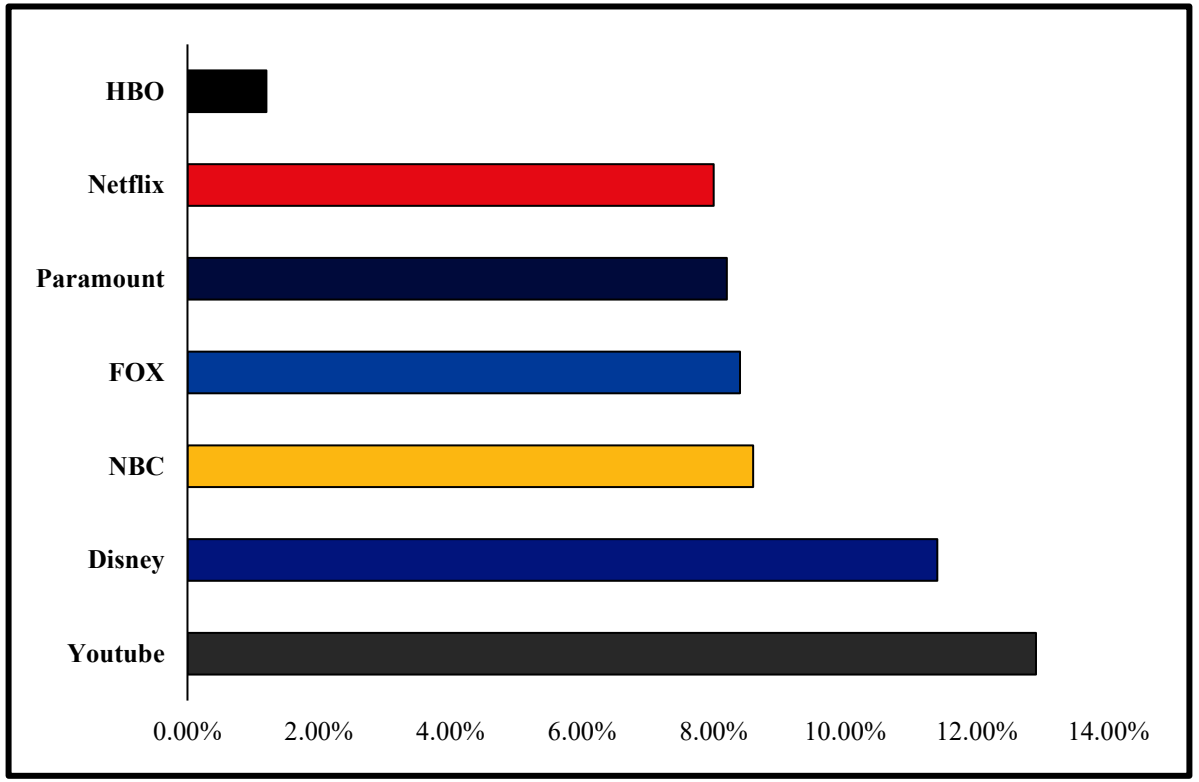


Streaming

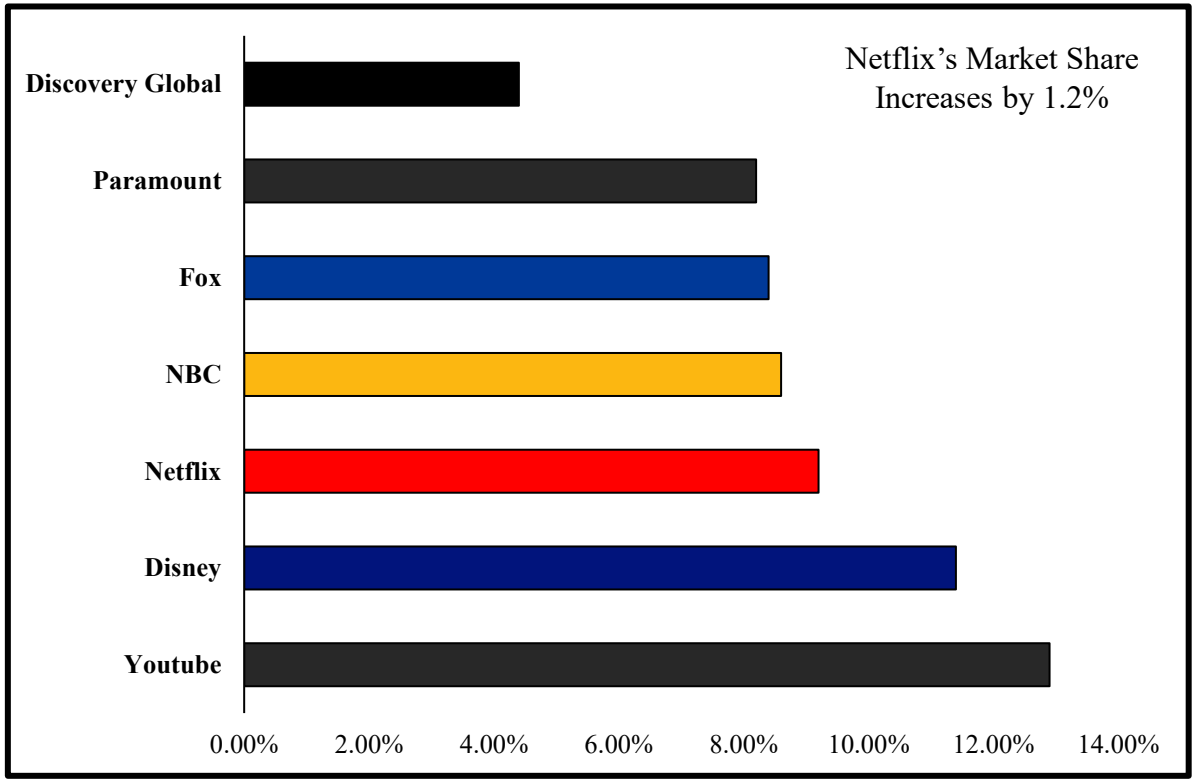


Thesis 2: The Ultimate Stream Team

Tv Market Share Before Acquisition

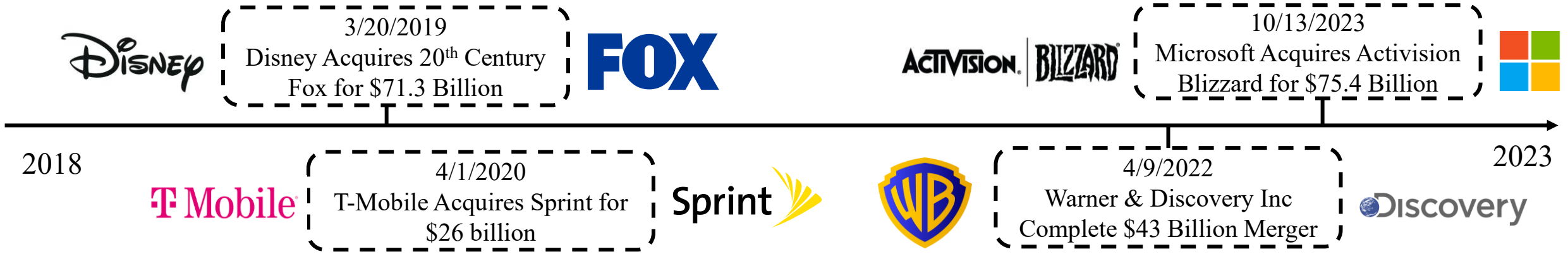


Tv Market Share After Acquisition



Why the Acquisition Could Pass

Past Mega-Deals Approved



Why This Deal Could Pass

The Deal Doesn't Hurt Consumers	Historical Precedent has been Set	Warner Bros. is Struggling
• Offers More Choice & Value • Still Competing with Big Tech	• All the above Transactions Cleared Despite Pressures	• $40B in Debt • Losing Subscribers • Regulators Favor Deals that "Rescue" Companies

Why the Acquisition May not Pass

Why the Deal Wouldn't Pass

Antitrust Concerns

1. Advertising Market Dominance
- Combined entity becomes #2 digital video advertiser after YouTube

2. Sports Rights Consolidation
- Gives Netflix access to WBD's NBA, MLB, NHL, and March Madness rights

Paramount Wins the Deal

1. Lower Regulatory Risk
- Creates #3 streaming platform in size

2. Complementary Assets
- CBS broadcast network + WBD cable creates unmatched linear bundle

3. Better Offer
- Paramount: $108.4B
- Netflix: $82.7B

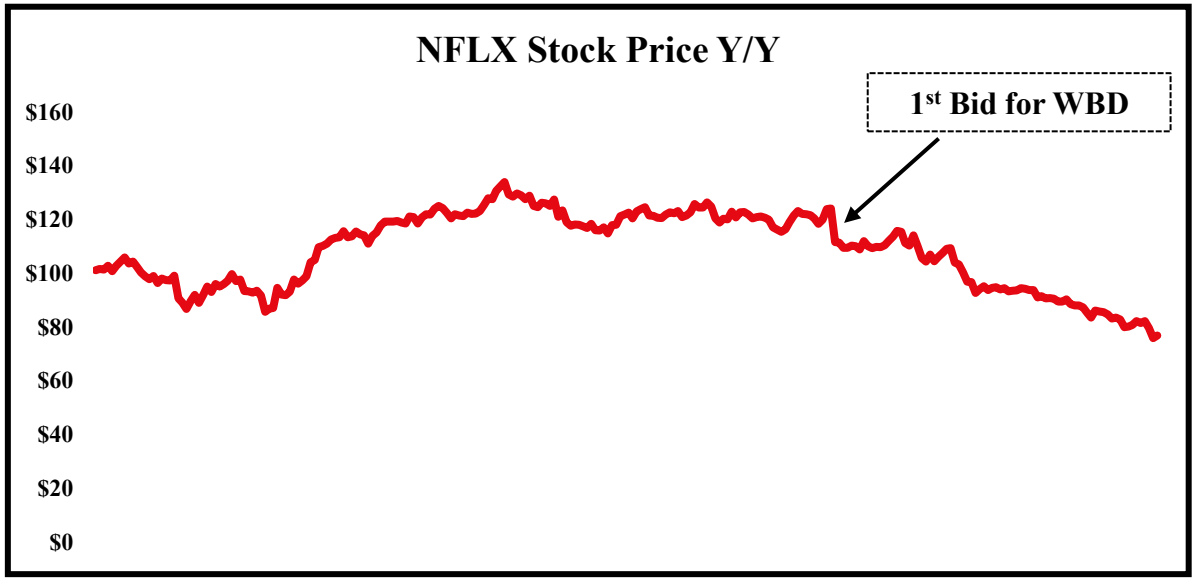
Win-Win Scenario for Netflix

Netflix Completes Deal With Netflix



1. Increased Members	2. Live Sports Entry
325 Millon ⟶ 453 Million	NBA, MLB, March Madness

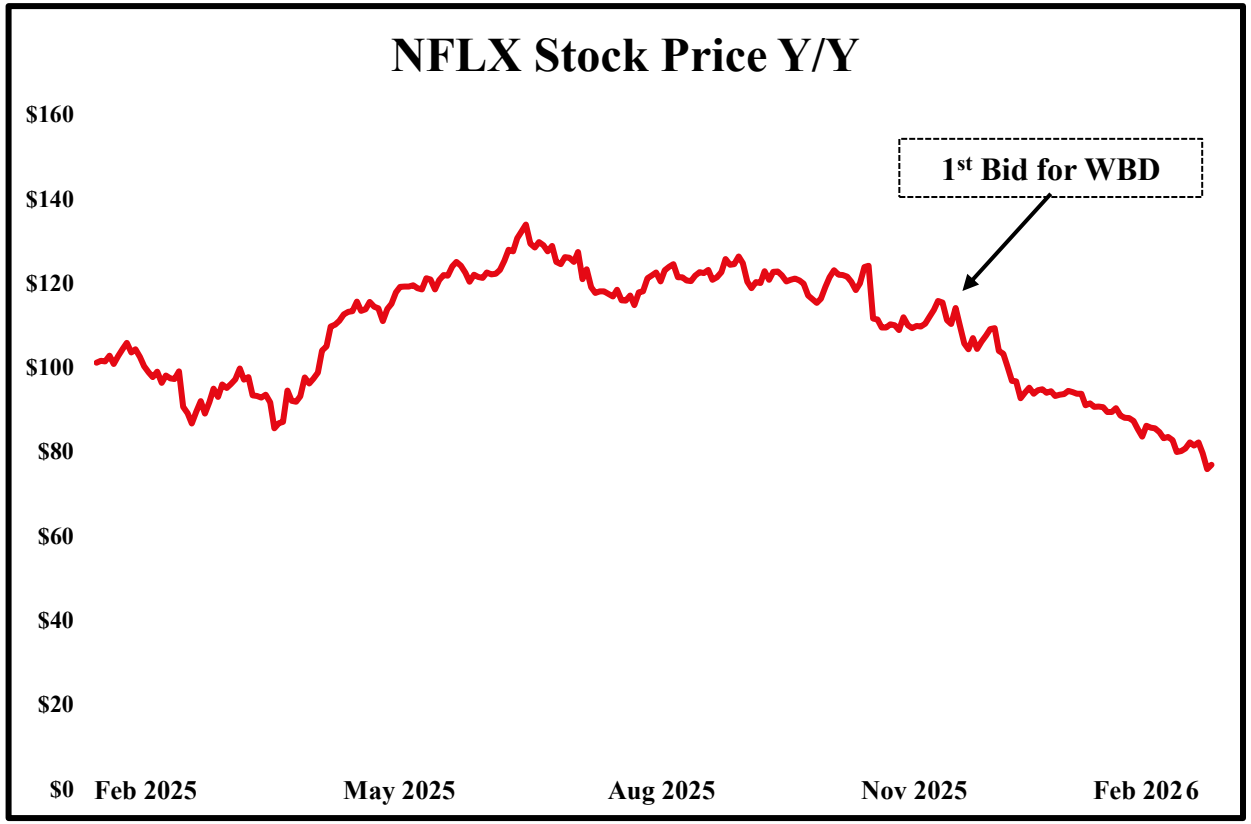
Netflix Loses the Deal



1. Return to Normal?	2. Covered Fee
Down ~30% Since First Bid	Netflix Receives $2.8 Billion Termination Fee

Thesis 3: Buying After the Selloff

NFLX Stock is Down ~30% Since First Bid for WBD



Reasons For Drop

1. Substantial Debt ($~40B) from WB Acquisition

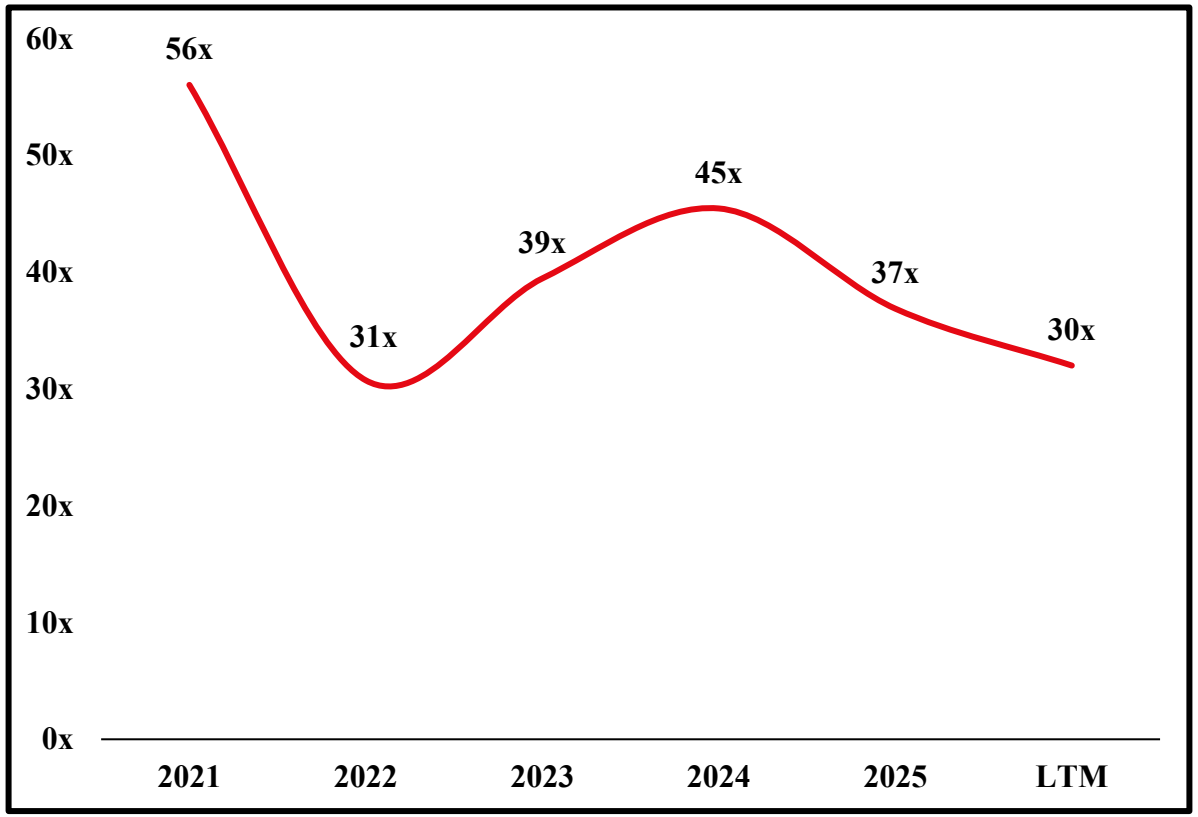
2. Anti Trust Concerns Surrounding Acquisition

3. Fear of AI-Generated Content Disrupting Overall Industry

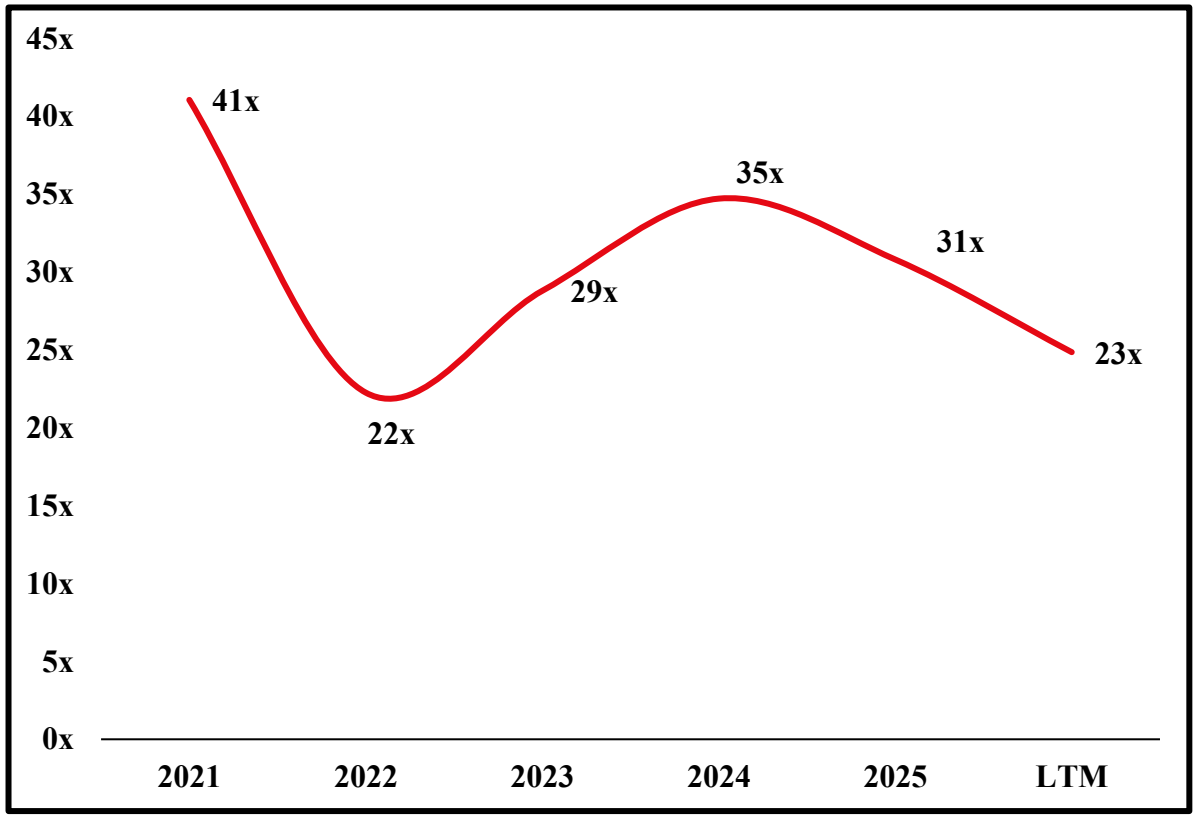
1. Massive FCF	2. It Will Close	3. AI ≠ Threat
$11 Billion in 2026	WBD is Struggling	Not a Replacement

Thesis 3:Buying After the Selloff

2021-LTM NFLX P/E Ratio

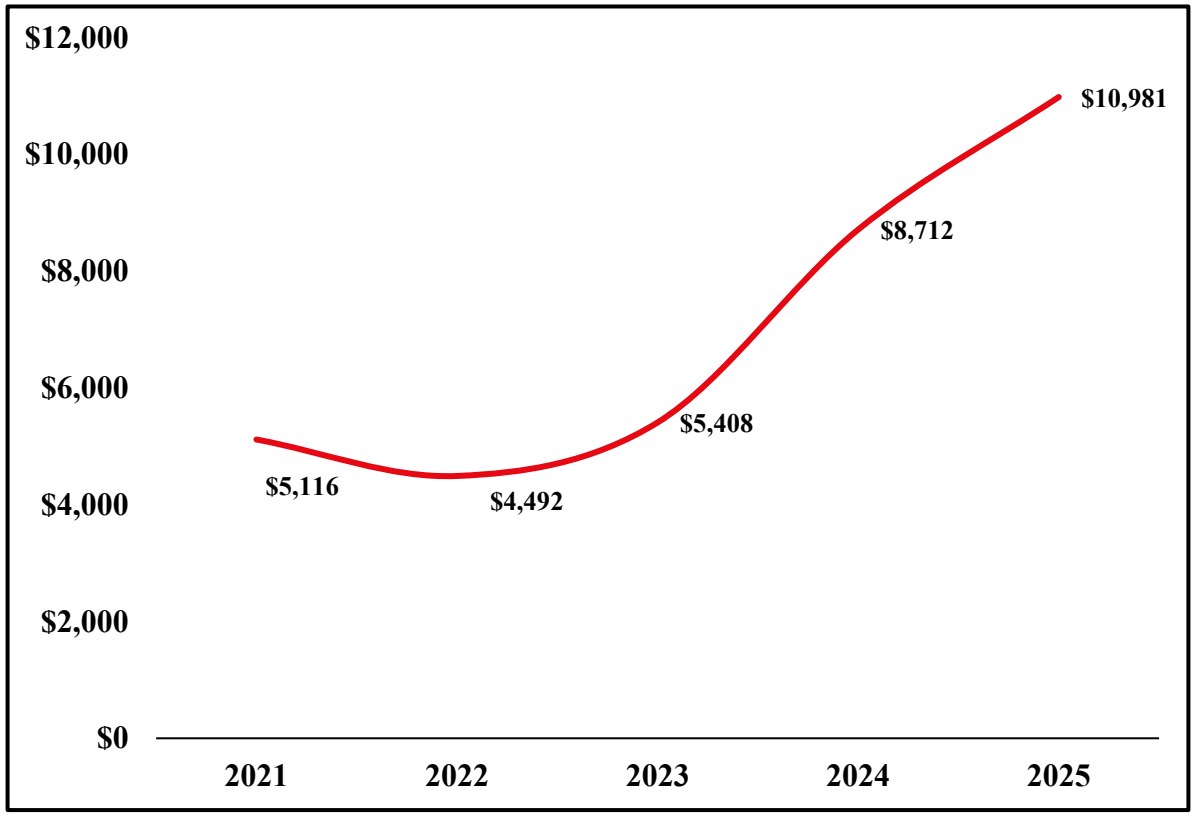


2021-LTM NFLX EV/EBITDA Ratio

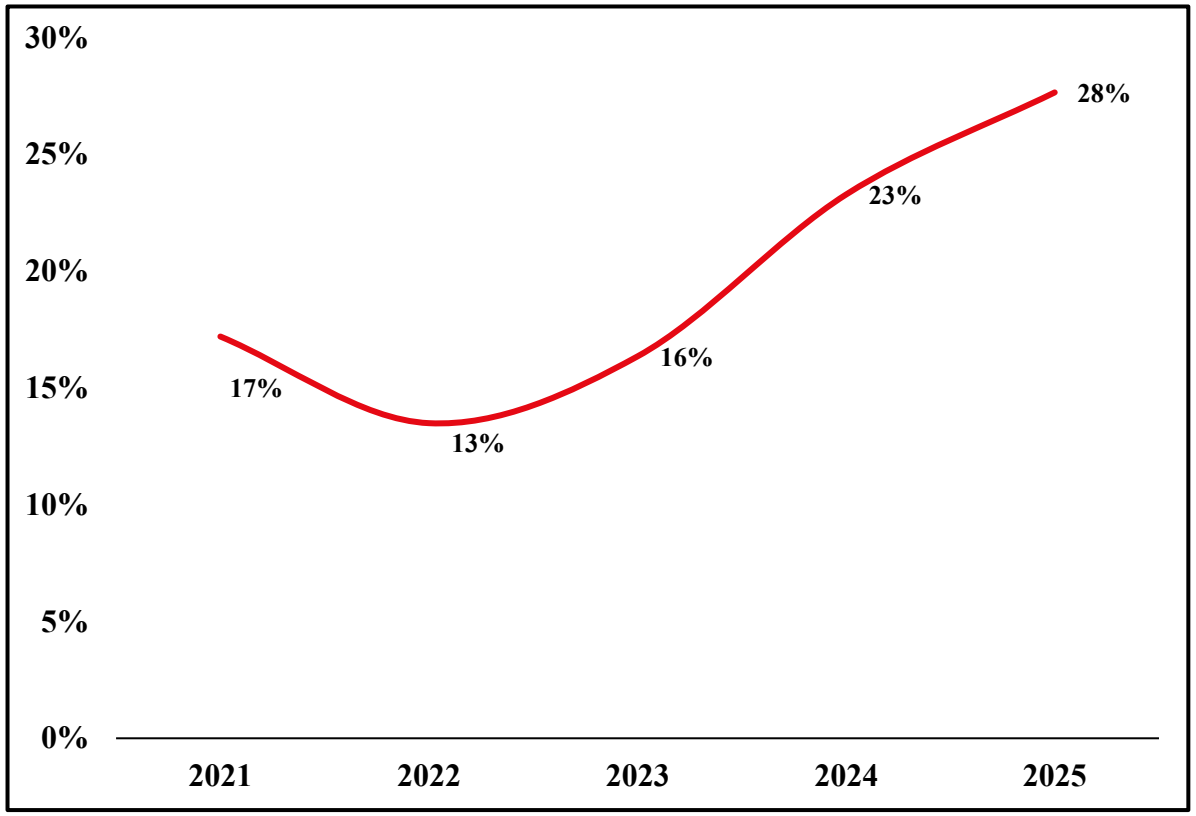


Thesis 3:Buying After the Selloff

2021-2025 NFLX Net Income



2021-2025 NFLX ROIC

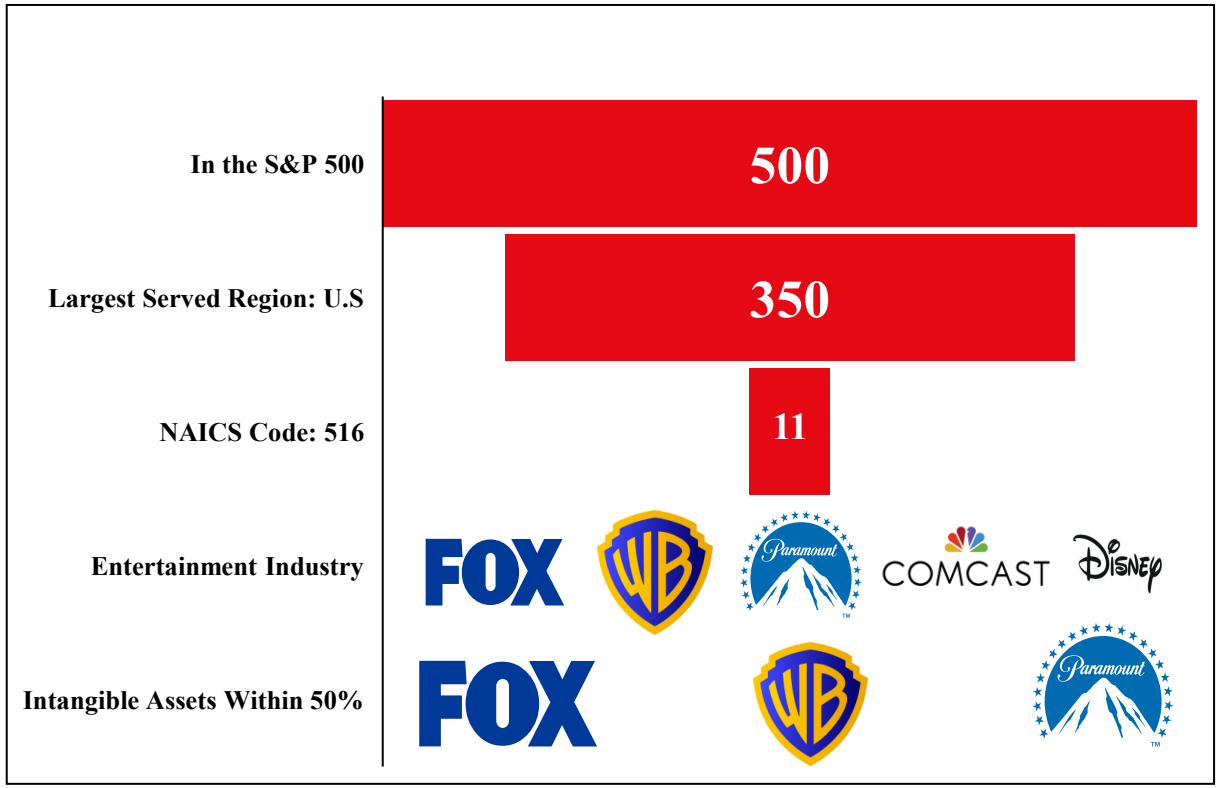


Public Comparables Valuation Peers

Comparison of Netflix to Peers

Companies	EV/EBITDA	EV/Sales	P/E Ratio	EV/Memberships
	24.29x	7.35x	30.26x	1.02x
Peers Used In Model				
FOX	8.0x	1.7x	12.3x	0.1x
	13.1x	2.6x	149.2x	0.9x
	8.2x	0.8x	10.3x	0.3x

Peer Selection Process



Comps Valuation

Public Comparables Valuation

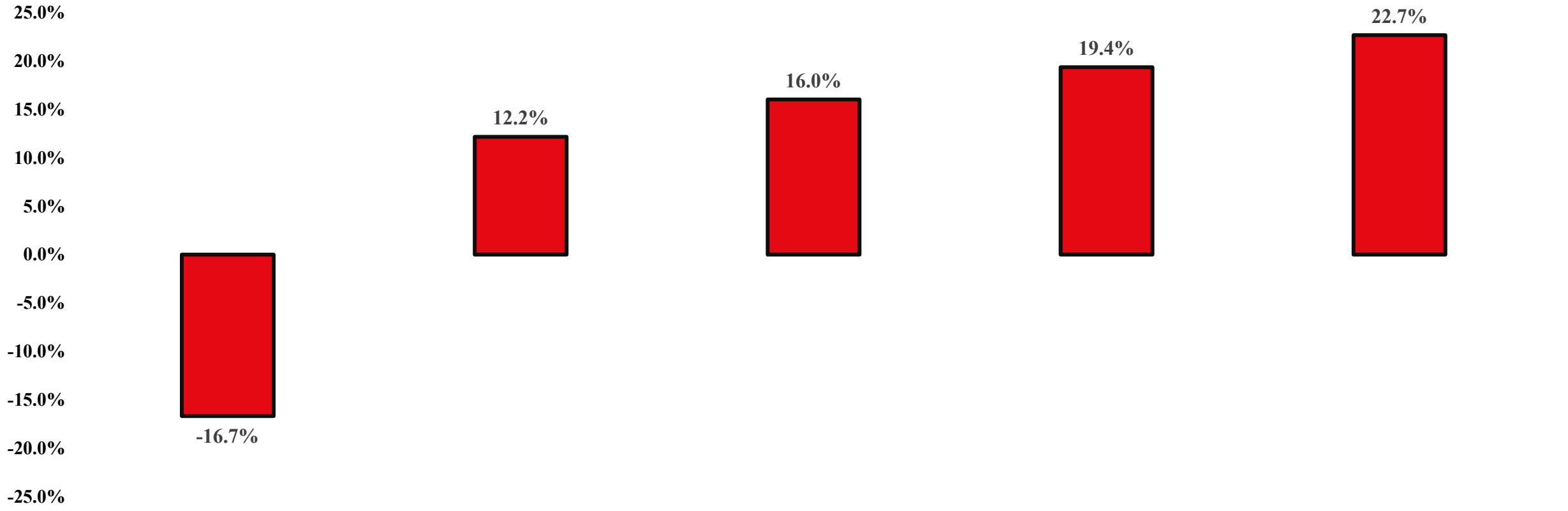
Ticker	Comparable Company	Enterprise Value/EBITDA	Enterprise Value/Revenue	P/E Ratio	EV/Members
FOX CORPORATION (XNAS:FOX)	FOX	8.0x	1.7x	12.3x	~~0.1x~~
WARNER BROS. DISCOVERY, INC. (XNAS:WBD)	Warner Bros	13.1x	2.6x	~~149.2x~~	0.9x
PARAMOUNT SKYDANCE CORPORATION (XNAS:PSKY)	Paramount	8.2x	0.8x	10.3x	0.3x
	Mean	9.8X	1.7X	11.3X	0.6X
	Price/Share (From Mean)	$29.16	$16.31	$42.91	$42.04
	Target Price	$32.61			
	Current Price	$76.87			
	Upside	-57.58%			

Why This Valuation Won't Work for Netflix

1. Better Peers are Conglomerates	2.Unique Business Model	3. Netflix Commands a Premium
Disney, Amazon, Apple	Larger Scale| Pure Subscription Model	Strong Past Performance + Future Growth

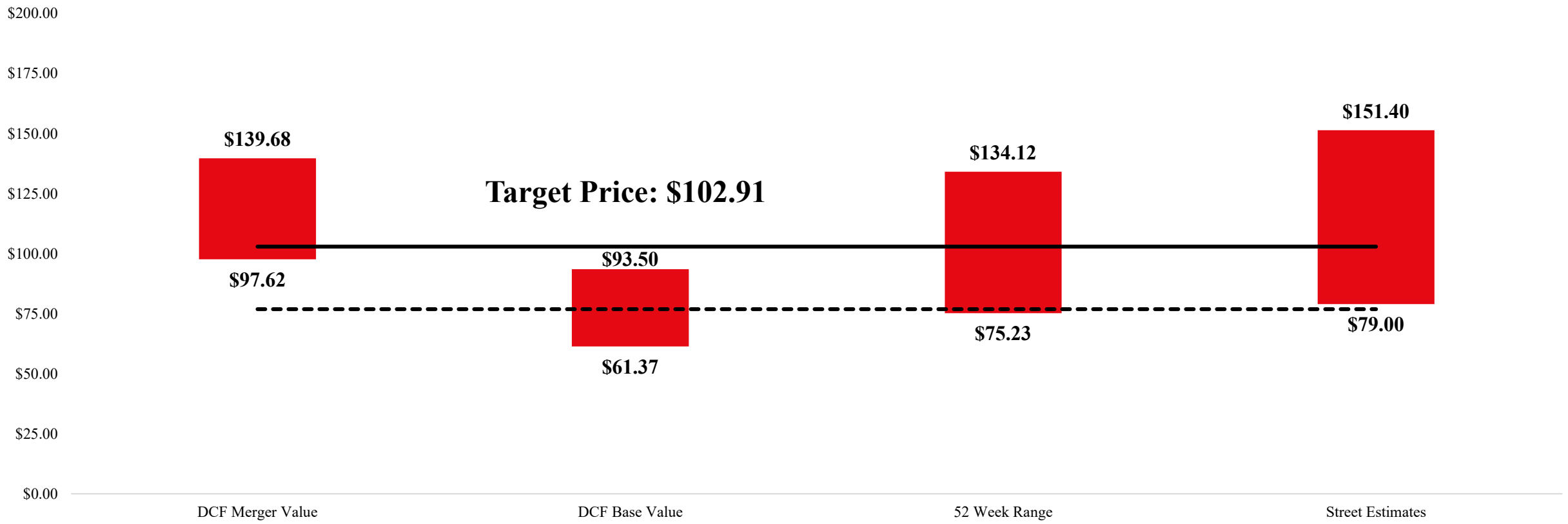
Acquisition Analysis

Accretion/Dilution Analysis



Intrinsic Valuation

Discounted Cash Flow Analysis



Wall Street's Viewpoint

Recent Recommendations | Avg. Target Price: $110			
Firm	**Rating**	**Target Price**	**Date**
Bernstein	Outperform	$115	2/10/2026
Morgan Stanley	Overweight/In-Line	$110	2/9/2026
Wolfe Research	Outperform	$95	2/8/2026
Wedbush	Outperform	$115	2/4/2026
BMO	Outperform	$135	2/3/2026

Ratings
Buys 40
Sells 1
Holds 17

Conclusion

NASDAQ:NFLX| Recommendation: Strong Buy| Target Price: $102.91 (+35.53%)

NETFLIX

Thesis 1

Robust Ad Business

Thesis 2

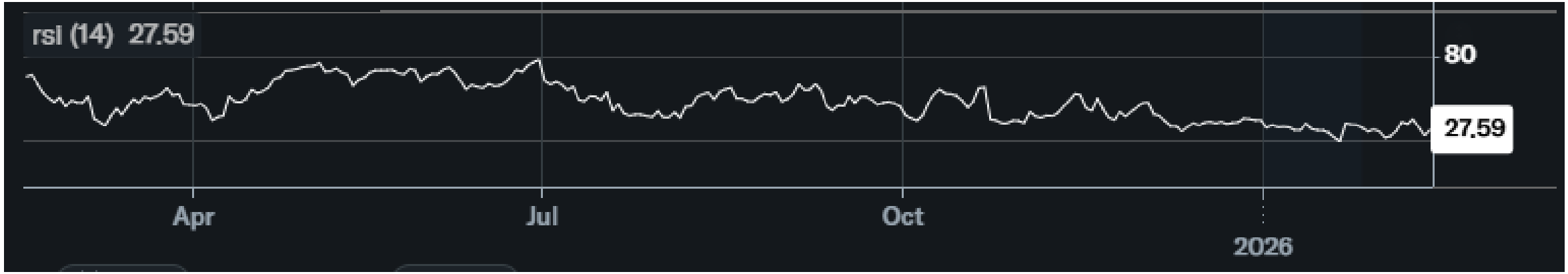
WBD Deal

Thesis 3

Buying The Dip

Appendix

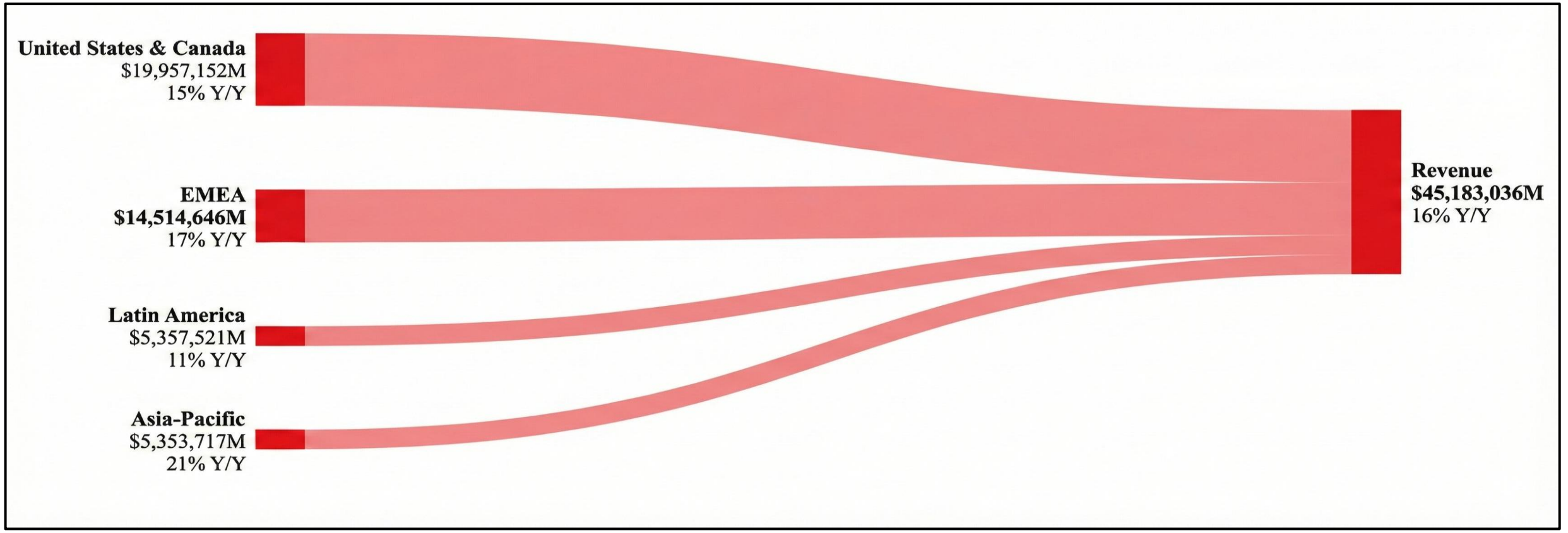
Technical Analysis





Geographic Revenue

Revenue by Region



Risk Scores

